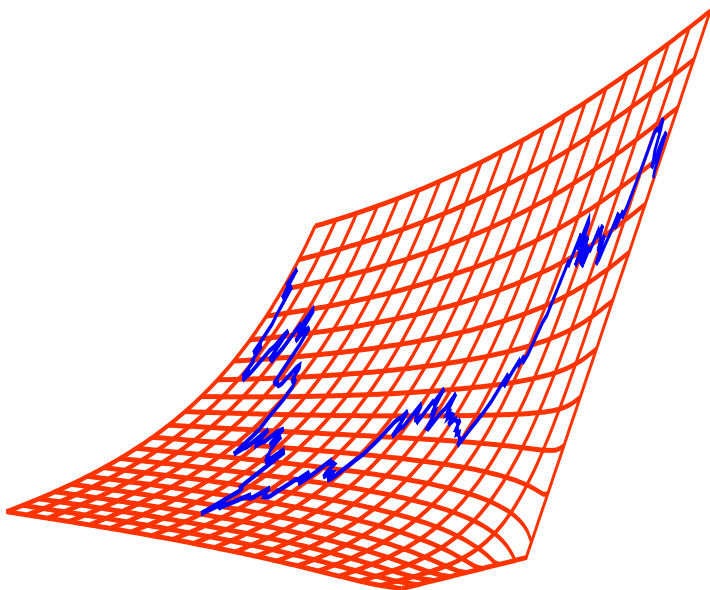


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Notes on
Stochastic Finance



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<https://personal.ntu.edu.sg/nprivault/index.html>

Preface

This book is an introduction to a wide range of topics in financial mathematics, including Black–Scholes pricing, exotic and american options, term structure modeling and change of numéraire, stochastic volatility, as well as models with jumps. It presents the mathematics of pricing and hedging in discrete and continuous-time financial models, with an emphasis on the complementarity between analytical and probabilistic methods. The contents are mostly mathematical, and also aim at making the reader aware of both the power and limitations of mathematical models in finance, by taking into account their conditions of applicability. The text is targeted at the advanced undergraduate and graduate levels in applied mathematics, financial engineering, and economics.

The point of view adopted is that of mainstream mathematical finance, in which the computation of fair prices is based on the absence of arbitrage hypothesis, therefore excluding riskless profit based on arbitrage opportunities and basic (buying low/selling high) trading. Similarly, this document is not concerned with any “prediction” of stock price behaviors that belong to other domains such as technical analysis, which should not be confused with the statistical modeling of asset prices.

The descriptions of the asset model, self-financing portfolios, arbitrage, and market completeness, are first given in Chapter 1 in a simple two time-step setting. These notions are then reformulated in discrete time in Chapter 2. Here, the impossibility to access future information is formulated using the notion of adapted processes, which will play a central role in the construction of stochastic calculus in continuous time.

In order to trade efficiently, it would be useful to have a formula to estimate the “fair price” of a given risky asset, helping for example to determine whether the asset is undervalued or overvalued at a given time. Although such a formula is not available, we can instead derive formulas for the pricing of options that can act as insurance contracts to protect their holders against adverse changes in the prices of risky assets. The pricing and hedging of options in discrete time, particularly in the fundamental example of the Cox–Ross–Rubinstein model, are considered in Chapter 3, with a description

of the passage from discrete to continuous time that prepares the transition to the subsequent chapters.

A simplified presentation of Brownian motion, stochastic integrals, and the associated Itô formula, is given in Chapter 4, with application to stochastic asset price modeling in Chapter 5. The Black–Scholes model is presented from the angle of partial differential equation (PDE) methods in Chapter 6, with the derivation of the Black–Scholes formula by transforming the Black–Scholes PDE into the standard heat equation, which is then solved by a heat kernel argument. The martingale approach to pricing and hedging is then presented in Chapter 7, and complements the PDE approach of Chapter 6 by recovering the Black–Scholes formula via a probabilistic argument. An introduction to stochastic volatility is given in Chapter 8, followed by a presentation of volatility estimation tools including historical, local, and implied volatilities, in Chapter 9. This chapter also contains a comparison of the prices obtained by the Black–Scholes formula with actual option price market data.

Exotic options such as barrier, lookback, and Asian options are treated in Chapters 11, 12, and 13, respectively, following an introduction to the properties of the maximum of Brownian motion given in Chapter 10. Optimal stopping and exercise, with application to the pricing of American options, are considered in Chapter 15, following the presentation of background material on filtrations and stopping times in Chapter 14. The construction of forward measures by change of numéraire is given in Chapter 16 and is applied to the pricing of interest rate derivatives such as caplets, caps, and swaptions in Chapter 19, after an introduction to bond pricing and to the modeling of forward rates in Chapters 17, and 18.

Stochastic calculus with jumps is dealt with in Chapter 20 and is restricted to compound Poisson processes, which only have a finite number of jumps on any bounded interval. Those processes are used for option pricing and hedging in jump models in Chapter 21, in which we mostly focus on risk-minimizing strategies as markets with jumps are generally incomplete. Chapter 22 contains an elementary introduction to finite difference methods for the numerical solution of PDEs and stochastic differential equations, dealing with the explicit and implicit finite difference schemes for the heat equations and the Black–Scholes PDE, as well as the Euler and Milstein schemes for SDEs. The text is completed with an appendix containing the needed probabilistic background.

The material in this book has been used for teaching in the Masters of Science in Financial Engineering at City University of Hong Kong and at the Nanyang Technological University in Singapore. The author thanks Nicky van Foreest, Jinlong Guo, Kazuhiro Kojima, Sijian Lin, Panwar Samay, Sandu Ursu, and Ju-Yi Yen for corrections and improvements.

This text contains 290 exercises and 18 problems with complete solutions. Clicking on an exercise number inside the solution section will send to the original problem text inside the file. Conversely, clicking on a problem number sends the reader to the corresponding solution, however this feature should not be misused. The cover graph represents the time evolution of the HSBC stock price from January to September 2009, plotted on the price surface of a European *put option* on that asset, expiring on October 05, 2009, see § 6.1.

This pdf file contains internal and external links, 32 tables and 384 figures, including 58 animated Figures 3.8, 3.10, 4.6, 4.7, 4.10, 4.11, 4.16, 5.5, 6.5, 10.1, 10.2, 10.5, 10.8, 11.11, 13.1, 12.1, 12.6, 12.14, 15.2, 17.20, 18.7, 18.10, 18.11, 18.18, 20.14, 20.16, 20.17, and S.18, 2 embedded videos in Figures 2 and 9.3, and 3 interacting 3D graphs in Figures 6.4, 6.11 and 11.1, that may require using Acrobat Reader for viewing on the complete pdf file. It also includes 45 Python codes e.g. on pages 75, 96, 100, 103, 145, 157, 239, 268, 365, 561 and 919, and 104  codes on pages 636, 791, 159, 163, 217, 213, 239, 241, 255, 247, 265, 268, 281, 365, 366, 382, 344, 425, 434, 663, 717, 742, 746, 761, 762, 837 and 840.

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Contents

Preface	v
Introduction	1
1 Assets, Portfolios, and Arbitrage	21
1.1 Portfolio Allocation and Short Selling	21
1.2 Arbitrage	23
1.3 Risk-Neutral Probability Measures	28
1.4 Hedging of Contingent Claims	33
1.5 Market Completeness	36
1.6 Example: Binary Market	36
Exercises	44
2 Discrete-Time Market Model	53
2.1 Discrete-Time Compounding	53
2.2 Arbitrage and Self-Financing Portfolios	56
2.3 Contingent Claims	62
2.4 Martingales and Conditional Expectations	66
2.5 Market Completeness and Risk-Neutral Measures	72
2.6 The Cox–Ross–Rubinstein (CRR) Market Model	74
Exercises	78
3 Pricing and Hedging in Discrete Time	89
3.1 Pricing Contingent Claims	89
3.2 Pricing Vanilla Options in the CRR Model	95
3.3 Hedging Contingent Claims	101
3.4 Hedging Vanilla Options	103
3.5 Hedging Exotic Options	111
3.6 Convergence of the CRR Model	119
Exercises	126

4	Brownian Motion and Stochastic Calculus	149
4.1	Brownian Motion	149
4.2	Three Constructions of Brownian Motion	153
4.3	Wiener Stochastic Integral	158
4.4	Itô Stochastic Integral	168
4.5	Stochastic Calculus	176
	Exercises	190
5	Continuous-Time Market Model	203
5.1	Asset Price Modeling	203
5.2	Arbitrage and Risk-Neutral Measures	205
5.3	Self-Financing Portfolio Strategies	207
5.4	Two-Asset Portfolio Model	210
5.5	Geometric Brownian Motion	216
	Exercises	220
6	Black–Scholes Pricing and Hedging	231
6.1	The Black–Scholes PDE	231
6.2	European Call Options	237
6.3	European Put Options	245
6.4	Market Terms and Data	250
6.5	The Heat Equation	255
6.6	Solution of the Black–Scholes PDE	260
	Exercises	263
7	Martingale Approach to Pricing and Hedging	273
7.1	Martingale Property of the Itô Integral	273
7.2	Risk-Neutral Probability Measures	278
7.3	Change of Measure and the Girsanov Theorem	282
7.4	Pricing by the Martingale Method	285
7.5	Hedging by the Martingale Method	292
	Exercises	299
8	Stochastic Volatility	327
8.1	Stochastic Volatility Models	327
8.2	Realized Variance Swaps	331
8.3	Realized Variance Options	336
8.4	European Options - PDE Method	345
8.5	Perturbation Analysis	351
	Exercises	356
9	Volatility Estimation	361
9.1	Historical Volatility	361
9.2	Implied Volatility	364
9.3	Local Volatility	372
9.4	The VIX [®] Index	378

Exercises	384
10 Maximum of Brownian Motion	389
10.1 Running Maximum of Brownian Motion	389
10.2 The Reflection Principle	393
10.3 Maximum of Drifted Brownian Motion	397
10.4 Expectation of Geometric Brownian Extrema	408
Exercises	416
11 Barrier Options	421
11.1 Options on Extrema	421
11.2 Knock-Out Barrier	426
11.3 Knock-In Barrier	438
11.4 PDE Method	442
11.5 Hedging Barrier Options	446
Exercises	447
12 Lookback Options	453
12.1 The Lookback Put Option	453
12.2 PDE Method	456
12.3 The Lookback Call Option	462
12.4 Delta Hedging for Lookback Options	469
Exercises	475
13 Asian Options	479
13.1 Bounds on Asian Option Prices	479
13.2 Hartman–Watson Distribution	487
13.3 Laplace Transform Method	490
13.4 Moment Matching	491
13.5 PDE Method	497
Exercises	508
14 Optimal Stopping Theorem	515
14.1 Filtrations and Information Flow	515
14.2 Submartingales and Supermartingales	516
14.3 Optimal Stopping Theorem	520
14.4 Drifted Brownian Motion	527
Exercises	532
15 American Options	537
15.1 Perpetual American Put Options	537
15.2 PDE Method for Perpetual Put Options	543
15.3 Perpetual American Call Options	547
15.4 Finite Expiration American Options	552
15.5 PDE Method with Finite Expiration	556
Exercises	560

16	Change of Numéraire and Forward Measures	573
16.1	Notion of Numéraire	573
16.2	Change of Numéraire	576
16.3	Foreign Exchange	586
16.4	Pricing Exchange Options	595
16.5	Hedging by Change of Numéraire	597
	Exercises	601
17	Short Rates and Bond Pricing	609
17.1	Short-Term Mean-Reverting Models	609
17.2	Calibration of the Vasicek Model	619
17.3	Zero-Coupon and Coupon Bonds	623
17.4	Bond Pricing PDE	628
	Exercises	643
18	Forward Rates	655
18.1	Construction of Forward Rates	655
18.2	LIBOR and SOFR Swap Rates	668
18.3	The HJM Model	673
18.4	Yield Curve Modeling	679
18.5	Two-Factor Model	683
18.6	The BGM Model	687
	Exercises	689
19	Pricing of Interest Rate Derivatives	695
19.1	Forward Measures and Tenor Structure	695
19.2	Bond Options	699
19.3	Caplet Pricing	701
19.4	Forward Swap Measures	708
19.5	Swaption Pricing	710
	Exercises	719
20	Stochastic Calculus for Jump Processes	735
20.1	The Poisson Process	735
20.2	Compound Poisson Process	744
20.3	Stochastic Integrals and Itô Formula with Jumps	751
20.4	Stochastic Differential Equations with Jumps	764
20.5	Girsanov Theorem for Jump Processes	769
	Exercises	777
21	Pricing and Hedging in Jump Models	783
21.1	Fitting the Distribution of Market Returns	783
21.2	Risk-Neutral Probability Measures	792
21.3	Pricing in Jump Models	793
21.4	Exponential Lévy Models	795
21.5	Black-Scholes PDE with Jumps	799

21.6 Mean-Variance Hedging with Jumps	801
Exercises	805
22 Basic Numerical Methods	809
22.1 Euler Discretization	809
22.2 Milstein Discretization	810
22.3 Discretized Heat Equation	812
22.4 Discretized Black-Scholes PDE	815
Exercises	818
Appendix: Background on Probability Theory	819
A.1 Probability Sample Space and Events	819
A.2 Probability Measures	823
A.3 Conditional Probabilities and Independence	824
A.4 Random Variables	827
A.5 Probability Distributions	828
A.6 Expectation of Random Variables	836
A.7 Conditional Expectation	849
Exercises	854
Exercise Solutions	857
Chapter 1	857
Chapter 2	867
Chapter 3	878
Chapter 4	920
Chapter 5	951
Chapter 6	971
Chapter 7	987
Chapter 8	1041
Chapter 9	1050
Chapter 10	1065
Chapter 11	1083
Chapter 12	1107
Chapter 13	1118
Chapter 14	1131
Chapter 15	1140
Chapter 16	1168
Chapter 17	1182
Chapter 18	1203
Chapter 19	1218
Chapter 20	1241
Chapter 21	1255
Chapter 22	1260
Background on Probability Theory	1261
References	1267

Index	1281
Author index	1293

List of Figures

1	Two sample paths of one-dimensional Brownian motion	2
2	“As if a whole new world was laid out before me.”*	3
3	Comparison of WTI <i>vs.</i> Keppel price graphs	5
4	Hang Seng index	6
5	Two put option scenarios	7
6	Payoff function of a put option	7
7	Two call option scenarios	9
8	Payoff function of a call option	10
9	“Infogrames” stock price curve	11
10	Brent and WTI price graphs	11
11	Price map of a four-way collar option	12
12	Payoff function of a four-way call collar option	12
13	Four-way call collar payoff as a combination of call and put options* . .	13
14	Implied probabilities	17
15	Implied probabilities according to bookmakers	18
16	Implied probabilities according to polling	18
17	Fifty sample price paths used for the Monte Carlo method	19
18	Course plan	20
1.1	Triangular arbitrage	24
1.2	Arbitrage: Xbox Retail prices	26
1.3	Separation of convex sets	33
2.1	Illustration of the self-financing condition (2.7)	59
2.2	Why apply discounting?	61
2.3	Oil price graph	61
2.4	Take the quiz	66
2.5	Discrete-time asset price tree in the CRR model	76
2.6	Discrete-time asset price graphs in the CRR model	77
2.7	Function $x \mapsto ((1+x)^{21} - (1+x)^{10})/x$	80
2.8	Graph of the function $r \mapsto (1 - (1+r)^{-12})/r$	82

2.9	Transition probabilities in the recovery theorem	85
3.1	Graph of $120 = \binom{10}{7}$ paths with $n = 5$ and $k = 2^*$	97
3.2	Discrete-time call option pricing tree	101
3.3	Discrete-time call option hedging strategy (risky component)	105
3.4	Discrete-time call option hedging strategy (riskless component)	105
3.5	Tree of asset prices in the CRR model	110
3.6	Tree of option prices in the CRR model	111
3.7	Tree of hedging portfolio allocations in the CRR model	111
3.8	Galton board simulation*	121
3.9	A real-life Galton board	121
3.10	Multiplicative Galton board simulation*	122
3.11	Put spread collar price map	130
3.12	Call spread collar price map	131
3.13	Tree of market prices with $N = 2$	135
3.14	Trees of bid and ask prices with $N = 2$	136
3.15	฿TC/USD order book example	138
3.16	Dividend detachment on Z74.SI	139
4.1	Sample paths of a one-dimensional Brownian motion	150
4.2	Evolution of the fortune of a poker player <i>vs.</i> number of games played	151
4.3	Web traffic ranking	151
4.4	Two sample paths of a two-dimensional Brownian motion	152
4.5	Sample path of a three-dimensional Brownian motion	153
4.6	Scaling property of Brownian motion*	153
4.7	Brownian motion as a random walk*	154
4.8	Statistics of one-dimensional Brownian paths <i>vs.</i> Gaussian distribution	156
4.9	Statistics of S&P 500 yearly return graphs from 1950 to 2022	157
4.10	Lévy's construction of Brownian motion*	157
4.11	Construction of Brownian motion by series expansions*	158
4.12	Step function	159
4.13	Area under the step function	160
4.14	Infinite <i>vs.</i> finite area under a curve	161
4.15	Squared step function	162
4.16	Step function approximation*	163
4.17	Adapted pair trading portfolio strategy	169
4.18	Step function approximation of Brownian motion*	171
4.19	Squared simple predictable process	173
4.20	NGram Viewer output for the term "stochastic calculus"	176
4.21	Wrong application of Itô's formula (sample)	185
4.22	Simulated path of (4.33) with $\alpha = 10$, $\sigma = 0.2$ and $X_0 = 0.5$	187
4.23	Simulated path of (4.37)	189
4.24	Simulated path of (4.38) with $\alpha = -5$ and $\sigma = 1$	190
5.1	Why apply discounting?	204

5.2	Illustration of the self-financing condition (5.4)	208
5.3	Illustration of the self-financing condition (5.10)	211
5.4	Ten sample paths of geometric Brownian motion	214
5.5	Geometric Brownian motion started at $S_0 = 1^*$	217
5.6	Statistics of geometric Brownian paths <i>vs.</i> lognormal distribution	221
6.1	Underlying market prices	232
6.2	Simulated geometric Brownian motion	233
6.3	Graph of the Gaussian Cumulative Distribution Function (CDF)	238
6.4	Black–Scholes call price map [*]	239
6.5	Time-dependent solution of the Black–Scholes PDE (call option) [*]	240
6.6	Delta of a European call option	242
6.7	Gamma of European call and put options	243
6.8	HSBC Holdings stock price	243
6.9	Path of the Black–Scholes price for a call option on HSBC	244
6.10	Time evolution of a hedging portfolio for a call option on HSBC	245
6.11	Black–Scholes put price function [*]	246
6.12	Time-dependent solution of the Black–Scholes PDE (put option) [*]	247
6.13	Delta of a European put option	249
6.14	Path of the Black–Scholes price for a put option on HSBC	249
6.15	Time evolution of the hedging portfolio for a put option on HSBC	250
6.16	Time-dependent solutions of the Black–Scholes PDE with $r > 0^*$	251
6.17	Time-dependent solutions of the Black–Scholes PDE with $r < 0^*$	252
6.18	Time-dependent solutions of the Black–Scholes PDE with $r = 0^*$	252
6.19	Warrant terms and data	255
6.20	Time-dependent solution of the heat equation [*]	257
6.21	Time-dependent solution of the heat equation [*]	259
6.22	Short rate $t \mapsto r_t$ in the CIR model	264
6.23	Option price as a function of the volatility σ	267
7.1	Discretized drifted Brownian path	279
7.2	Drifted Brownian paths under a shifted Girsanov measure	281
7.3	Payoff functions of bull spread and bear spread options	301
7.4	Graphs of call/put payoff functions	301
7.5	Long call butterfly payoff function	303
7.6	Option price as a function of underlying asset price and time to maturity	322
7.7	Delta as a function of underlying asset price and time to maturity	322
7.8	Gamma as a function of underlying asset price and time to maturity	323
7.9	Option price as a function of underlying asset price and time to maturity	324
7.10	Delta as a function of underlying asset price and time to maturity	324
7.11	Gamma as a function of underlying asset price and time to maturity	325
8.1	Euro / SGD exchange rate	328
8.2	Fitting of a lognormal probability density function	337
8.3	Fitting of a gamma probability density function	342

8.4	Variance call option prices with $b = 0.15$	344
8.5	Variance call option prices with $b = -0.05$	344
8.6	Option price approximations plotted against v with $\rho = -0.5$	356
9.1	Underlying asset price <i>vs.</i> log-returns	363
9.2	Historical volatility graph	364
9.3	The <i>fugazi</i> : it's a wazy, it's a woozie. It's fairy dust*	364
9.4	Option price as a function of the volatility σ	365
9.5	Implied volatility of Asian options on light sweet crude oil futures	367
9.6	S&P500 implied volatilities plotted against strike prices	368
9.7	Market stock price of Cheung Kong Holdings	369
9.8	Market call option prices <i>vs.</i> calibrated Black–Scholes prices	370
9.9	Market stock price of HSBC Holdings	370
9.10	Market call option prices <i>vs.</i> calibrated Black–Scholes prices	371
9.11	Market put option prices <i>vs.</i> calibrated Black–Scholes prices	371
9.12	Call option price <i>vs.</i> underlying asset price	372
9.13	Simulated path of (9.7) with $r = 0.5$ and $\sigma = 1.2$	373
9.14	Local volatility estimated from Boeing Co. option price data	377
9.15	VIX [®] Index <i>vs.</i> S&P 500	382
9.16	VIX [®] Index <i>vs.</i> historical volatility for the year 2011	383
9.17	Correlation estimates between GSPC and the VIX [®]	383
9.18	VIX [®] Index <i>vs.</i> 30 day historical volatility for the S&P 500	384
10.1	Brownian motion $(W_t)_{t \in \mathbb{R}_+}$ and its running maximum $(X_0^t)_{t \in \mathbb{R}_+}$ *	390
10.2	Running maximum of Brownian motion*	390
10.3	Zeroes of Brownian motion*	391
10.4	Cantor set	391
10.5	Zeroes of Brownian motion	392
10.6	Graph of the Cantor function*	392
10.7	A function with no last point of increase before $t = 1$	393
10.8	Reflected Brownian motion with $a = 1.07$ *	394
10.9	Probability density of the maximum of Brownian motion	395
10.10	Probability density of the maximum of geometric Brownian motion	397
10.11	Probability computed as a volume integral	398
10.12	Reflected Brownian motion with $a = 1.07$ *	399
10.13	Joint probability density of Brownian motion and its maximum	400
10.14	Heat map of the joint density of W_1 and its maximum	401
10.15	Probability density of the maximum of drifted Brownian motion	404
11.1	Up-and-out barrier call option price with $B > K$ *	428
11.2	Up-and-out barrier put option price	433
11.3	Pricing data for an up-and-out barrier put option with $K = B = \$28$	434
11.4	Down-and-out barrier call option price	436
11.5	Down-and-out barrier call option price as a function of volatility	436
11.6	Down-and-out barrier put option price with $K > B$	438

11.7	Down-and-in barrier call option price with $K > B$	439
11.8	Up-and-in barrier call option price with $K > B$	440
11.9	Down-and-in barrier put option price with $K > B$	441
11.10	Up-and-in barrier put option price	442
11.11	Delta of the up-and-out barrier call option*	447
12.1	Lookback put option price (3D)*	454
12.2	Graph of lookback put option prices	455
12.3	Graph of lookback put option prices (2D)	455
12.4	Normalized lookback put option price	460
12.5	Normalized Black–Scholes put price and correction term	462
12.6	Lookback call option price*	463
12.7	Graph of lookback call option prices	463
12.8	Graphs of lookback call option prices (2D)	464
12.9	Normalized lookback call option price	466
12.10	Underlying asset prices	467
12.11	Running minimum of the underlying asset price	467
12.12	Lookback call option price	467
12.13	Normalized Black–Scholes call price and correction term	469
12.14	Delta of the lookback call option*	471
12.15	Rescaled portfolio strategy for the lookback call option	472
12.16	Delta of the lookback put option*	474
13.1	Brownian motion and its moving average*	480
13.2	Asian option price <i>vs.</i> European option price*	484
13.3	Asian call option prices	490
13.4	Lognormal approximation of probability density	493
13.5	Lognormal approximation to the Asian call option price	494
13.6	Dividend detachment graph on Z74.SI	512
14.1	Drifted Brownian path	517
14.2	Evolution of the fortune of a poker player <i>vs.</i> number of games played	518
14.3	Convex function example	518
14.4	Stopped process	522
14.5	Sample paths of a gambling process $(M_n)_{n \in \mathbb{N}}$	526
14.6	Brownian motion hitting a barrier	527
14.7	Drifted Brownian motion hitting a barrier	528
14.8	Hitting probabilities of drifted Brownian motion*	530
15.1	American put prices by exercising at τ_L for different values of L	541
15.2	Animated graph of American put prices $x \mapsto f_L(x)$ *	542
15.3	Option price as a function of L and of the underlying asset price	542
15.4	Path of the American put option price on the HSBC stock	543
15.5	American call prices by exercising at τ_L for different values of L	550
15.6	Animated graph of American call prices $x \mapsto f_L(x)$ *	550
15.7	American call prices for different values of L	551

15.8	Black-Scholes call option price <i>vs.</i> $(x, t) \mapsto (x - K)^+$	553
15.9	Black-Scholes put option price <i>vs.</i> $(x, t) \mapsto (K - x)^+$	554
15.10	Optimal frontier for the exercise of a put option	555
15.11	PDE estimates of finite expiration American put option prices	557
15.12	Longstaff-Schwartz estimates of finite expiration American put prices	558
15.13	Comparison between Longstaff-Schwartz and finite differences	558
15.14	Butterfly payoff function	561
16.1	Why change of numéraire?	575
16.2	Overseas investment opportunity	586
16.3	Evolution of exchange rate <i>vs.</i> interest rate	589
17.1	Short rate $t \mapsto r_t$ in the Vasicek model	611
17.2	Convergence of the Vasicek process to its stationary distribution	612
17.3	Twenty paths of the Vasicek process started in its stationary distribution	613
17.4	CBOE 10 Year Treasury Note (TNX) yield	614
17.5	Short rate $t \mapsto r_t$ in the CIR model	615
17.6	Convergence of the CIR process to its stationary distribution	616
17.7	CIR process started in its stationary distribution	617
17.8	Calibrated Vasicek simulation <i>vs.</i> market data	623
17.9	Five-dollar 1875 Louisiana bond with 7.5% biannual coupons	623
17.10	Discrete-time coupon bond pricing	626
17.11	Continuous-time coupon bond pricing	627
17.12	Comparison of Monte Carlo and PDE solutions	634
17.13	Bond price $t \mapsto P(t, T)$ <i>vs.</i> $t \mapsto e^{-r_0(T-t)}$	635
17.14	Bond price $t \mapsto P_c(t, T)$ with a 5% coupon rate	635
17.15	Bond price with coupon rate 6.25%	636
17.16	Orange Cnty Calif bond prices	637
17.17	Orange Cnty Calif bond yields	637
17.18	Fitting of a gamma probability density function	641
17.19	Approximation of Dothan bond prices	641
17.20	Brownian bridge	643
18.1	Graph of the spot forward rate $S \mapsto f(t, t, S)$	656
18.2	Indonesian government securities yield curve	656
18.3	Example of yield curve	657
18.4	Forward rate process $t \mapsto f(t, t, T)$	662
18.5	Instantaneous forward rate process $t \mapsto f(t, T)$	663
18.6	Federal Reserve yield curves from 1982 to 2012	664
18.7	European Central Bank yield curves*	664
18.8	August 2019 Federal Reserve yield curve inversion*	665
18.9	Stochastic process of forward curves	673
18.10	Forward instantaneous curve in the Vasicek model*	677
18.11	Forward instantaneous curve $x \mapsto f(0, x)$ in the Vasicek model*	678
18.12	Short-term interest rate curve $t \mapsto r_t$ in the Vasicek model	678

18.13 Nelson–Siegel graph	679
18.14 Svensson graph	680
18.15 Fitting of a Svensson curve to market data	680
18.16 Graphs of forward rates	681
18.17 Forward instantaneous curve in the Vasicek model	681
18.18 ECB data <i>vs.</i> fitted yield curve*	683
18.19 Bond prices $t \mapsto P(t, T_2), P(t, T_2), P(t, T_3)$	684
18.20 Forward rates in a two-factor model	686
18.21 Evolution of instantaneous forward rates in a two-factor model	687
18.22 Roadmap of stochastic interest rate modeling	688
19.1 Implied swaption volatilities	716
20.1 Sample path of a counting process $(N_t)_{t \in \mathbb{R}_+}$	736
20.2 Sample path of the Poisson process $(N_t)_{t \in \mathbb{R}_+}$	739
20.3 Sample path of the Poisson process $(N_t)_{t \in \mathbb{R}_+}$	742
20.4 Sample path of the compensated Poisson process $(N_t - \lambda t)_{t \in \mathbb{R}_+}$	744
20.5 Probability density function	745
20.6 Sample path of a compound Poisson process $(Y_t)_{t \in \mathbb{R}_+}$	746
20.7 Sample path of a compensated compound Poisson process	751
20.8 Sample trajectories of a gamma process	761
20.9 Sample trajectories of a variance gamma process	761
20.10 Sample trajectories of an inverse Gaussian process	762
20.11 Sample trajectories of a negative inverse Gaussian process	762
20.12 Sample trajectories of a stable process	762
20.13 USD/CNY Exchange rate data	763
20.14 Geometric Poisson process*	766
20.15 Ranking data	766
20.16 Geometric compound Poisson process*	767
20.17 Geometric Brownian motion with compound Poisson jumps*	768
20.18 Share price with jumps	768
21.1 Market returns <i>vs.</i> normalized Gaussian returns	784
21.2 Empirical <i>vs.</i> Gaussian CDF	785
21.3 Quantile-Quantile plot	785
21.4 Empirical density <i>vs.</i> normalized Gaussian density	786
21.5 Empirical density <i>vs.</i> normalized lognormal density	787
21.6 Empirical density <i>vs.</i> power density	787
21.7 Gram–Charlier expansions	792
22.1 Divergence of the explicit finite difference method	816
22.2 Stability of the implicit finite difference method	818
A.1 Probability density function	829
A.2 Exponential CDF and PDF	831
A.3 Probability computed as a volume integral	832

S.1	Strike price as a function of risk-free rate	866
S.2	Investment graph (1)	867
S.3	Investment graph (2)	868
S.4	Histogram of replies to Question c).	871
S.5	Range forward contract payoff as a combination of call and put option payoffs*	887
S.6	Put spread collar price map	893
S.7	Put spread collar payoff function	893
S.8	Put spread collar payoff as a combination of call and put payoffs*	894
S.9	Call spread collar price map	894
S.10	Call spread collar payoff function	895
S.11	Call spread collar payoff as a combination of call and put payoffs*	895
S.12	Tree of market prices with $N = 2$	905
S.13	Put option prices in the trinomial model	919
S.14	Function $x \mapsto f_\varepsilon(x)$	939
S.15	Derivative $x \mapsto f'_\varepsilon(x)$	939
S.16	Samples of linear interpolations	942
S.17	Phone screenshots	955
S.18	Brownian crossings of level 1*	964
S.19	Brownian path	966
S.20	Risk-neutral pricing of a foreign exchange option	966
S.21	Delta hedging of a foreign exchange option	966
S.22	Bitcoin XBT/USD order book	967
S.23	Time spent by Brownian motion within a given range	968
S.24	Market data for the warrant #01897 on the MTR Corporation	978
S.25	Lower bound <i>vs.</i> Black–Scholes call price	991
S.26	Lower bound <i>vs.</i> Black–Scholes put option price	991
S.27	Bull spread option as a combination of call and put options*	992
S.28	Bear spread option as a combination of call and put options*	993
S.29	Butterfly option as a combination of call options*	996
S.30	Delta of a butterfly option	997
S.31	Gaussian approximation of spread probability density function	1008
S.32	Gaussian approximation of spread option prices	1009
S.33	Price of a binary call option	1012
S.34	Risky hedging portfolio value for a binary call option	1013
S.35	Risk-free hedging portfolio value for a binary call option	1013
S.36	Black–Scholes price of the maximum chooser option	1015
S.37	Delta of the maximum chooser option	1016
S.38	Black–Scholes price of the minimum chooser option	1017
S.39	Delta of the minimum chooser option	1018
S.40	Sample path of $dS_t = S_t dB_t / \sqrt{1-t}$	1031
S.41	Sample path of $dS_t = S_t^2 dB_t$	1031
S.42	Sample path of $dS_t = S_t^2 dB_t$	1032
S.43	“Infogrames” stock price curve	1034
S.44	Butterfly option payoff as a combination of call and put options*	1052

S.45	Implied <i>vs.</i> local volatility	1057
S.46	Average return by selling at the maximum <i>vs.</i> selling at maturity	1071
S.47	Ratios of average returns	1073
S.48	CDF of the time of maximum of Brownian motion	1074
S.49	Black–Scholes call price upper bound.	1076
S.50	Black–Scholes put price upper bound.	1078
S.51	“Optimal exercise” put price upper bound.	1080
S.52	Down-and-out barrier call price with rebate as function of volatility	1087
S.53	Price of the up-and-in long forward contract	1088
S.54	Delta of the up-and-in long forward contract	1089
S.55	Price of the up-and-out long forward contract	1090
S.56	Delta of up-and-out long forward contract price	1091
S.57	Price of the down-and-in long forward contract	1092
S.58	Delta of down-and-in long forward contract	1092
S.59	Price of the down-and-out long forward contract	1093
S.60	Delta of down-and-out long forward contract	1094
S.61	Payoff function of the European knock-out call option	1100
S.62	Price map of the European knock-out call option	1101
S.63	Payoff function of the European knock-in put option	1102
S.64	Price map of the European knock-in put option	1102
S.65	Payoff function of the European knock-in call option	1103
S.66	Price map of the European knock-in call option	1104
S.67	Payoff function of the European knock-out put option	1104
S.68	Price map of the European knock-out put option	1105
S.69	Expected minimum of geometric Brownian motion	1107
S.70	Black–Scholes put price upper bound.	1108
S.71	Time derivative of the expected minimum	1108
S.72	Expected maximum of geometric Brownian motion	1110
S.73	Black–Scholes call price upper bound.	1111
S.74	Time derivative of the expected maximum	1111
S.75	Lookback call option price as a function of maturity time T	1114
S.76	Graph of the Gaussian Cumulative Distribution Function (CDF)	1115
S.77	Lookback put option price (2D) as a function of M_0^t	1117
S.78	Hitting times of a straight line started at $\alpha < 0$	1137
S.79	Hitting times of a straight line started at $\alpha < 0$	1138
S.81	Sample path of the random walk $(S_n)_{n \in \mathbb{N}}$	1139
S.82	American butterfly payoff and price functions	1142
S.83	Perpetual <i>vs.</i> finite expiration American put option price	1143
S.84	American put price approximation.	1144
S.85	Perpetual American binary put price map	1157
S.86	Perpetual American binary call price map	1157
S.87	Finite expiration American binary call price map	1160
S.88	Finite expiration American binary put price map	1161

S.89 Log bond prices correlation graph in the two-factor model	1216
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* Animated figures (work with Acrobat Reader).



List of Tables

1.1	Mark Six “Investment Table”	26
2.1	Self-financing portfolio value process	60
2.2	NTRC Input investment plan	79
2.3	Avenda Insurance investment plan	80
4.1	Itô multiplication table	182
6.1	Black–Scholes Greeks	250
6.2	Variations of Black–Scholes prices	251
7.1	Call and put options on the Hang Seng Index (HSI)	302
7.2	Contract summary	303
11.1	Barrier option types	425
11.2	Boundary conditions for barrier option prices	446
12.1	Extended Itô multiplication table	457
14.1	Martingales and stopping times	526
14.2	List of martingales	532
15.1	Optimal exercise strategies	560
16.1	Local <i>vs.</i> foreign exchange options	594
18.1	Forward rate agreement	658
18.2	Stochastic interest rate models	688
19.1	Forward rates arranged according to a tenor structure	695
19.2	A list of numéraire processes and their applications	718
20.1	Itô multiplication table with jumps	759

21.1	Market models and their properties	805
S.1	CRR pricing and hedging table	881
S.2	CRR pricing tree	883
S.3	CRR pricing and hedging tree	884
S.4	CRR pricing tree	889
S.5	CRR pricing and hedging tree	889
S.6	CRR pricing tree	891
S.7	CRR pricing and hedging tree	891
S.8	Fixed deposit returns	954
S.9	Call and put options on the Hang Seng Index (HSI)	994
S.10	Original call/put options on the Hang Seng Index (HSI)	995
S.11	Extended Black-Scholes Greeks	1045
S.12	LIBOR rate agreement	1212

Introduction

Modern quantitative finance requires a strong background in fields such as stochastic calculus, optimization, partial differential equations (PDEs) and numerical methods, or even infinite dimensional analysis. In addition, the emergence of new complex financial instruments on the markets makes it necessary to rely on increasingly sophisticated mathematical tools. Not all readers of this book will eventually work in quantitative financial analysis, nevertheless they may have to interact with quantitative analysts, and becoming familiar with the tools they employ could be an advantage. In addition, despite the availability of ready made financial calculators it still makes sense to be able oneself to understand, design and implement such financial algorithms. This can be particularly useful under different types of conditions, including an eventual lack of trust in financial indicators, possible unreliability of expert advice such as buy/sell recommendations, or other factors such as market manipulation. Instead of relying on predictions of stock price movements based on various tools (*e.g.* technical analysis, charting, “cup & handle” figures), we acknowledge that predicting the future is a difficult task and we rely on the [Efficient Market Hypothesis](#). In this framework, the time evolution of the prices of risky assets will be modeled by random walks and stochastic processes.

Historical sketch

We start with a description of some of the main steps, ideas and individuals that played an important role in the development of the field over the last century.

Robert Brown, botanist, 1828

[Brown \(1828\)](#) observed the movement of pollen particles as described in “A brief account of microscopical observations made in the months of June, July and August, 1827, on the particles contained in the pollen of plants; and on

the general existence of active molecules in organic and inorganic bodies.”
Phil. Mag. 4, 161-173, 1828.

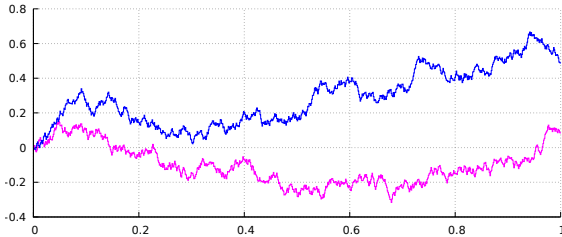


Fig. 1: Two sample paths of one-dimensional Brownian motion.

Philosophical Magazine, first published in 1798, is a journal that “publishes articles in the field of condensed matter describing original results, theories and concepts relating to the structure and properties of crystalline materials, ceramics, polymers, glasses, amorphous films, composites and soft matter.”

Albert Einstein, physicist

Einstein received his 1921 Nobel Prize in part for investigations on the theory of Brownian motion: “... in 1905 Einstein founded a kinetic theory to account for this movement”, presentation speech by S. Arrhenius, Chairman of the Nobel Committee, Dec. 10, 1922.

[Einstein \(1905\)](#) “Über die von der molekularkinetischen Theorie der Wärme geforderte Bewegung von in ruhenden Flüssigkeiten suspendierten Teilchen”, Annalen der Physik 17.

Louis Bachelier, mathematician, PhD 1900

[Bachelier \(1900\)](#) used Brownian motion for the modeling of stock prices in his PhD thesis “Théorie de la spéculation”, Annales Scientifiques de l'Ecole Normale Supérieure 3 (17): 21-86, 1900.

Norbert Wiener, mathematician, founder of cybernetics

Wiener is credited, among other fundamental contributions, for the mathematical foundation of Brownian motion, published in 1923. In particular he constructed the Wiener space and Wiener measure on $C_0([0, 1])$ (the space of continuous functions from $[0, 1]$ to $\mathbb{R}$ vanishing at 0).

[Wiener \(1923\)](#) “Differential space”, Journal of Mathematics and Physics of the Massachusetts Institute of Technology, 2, 131-174, 1923.

Kiyoshi Itô (伊藤清), mathematician, C.F. Gauss Prize 2006

[Itô \(1944\)](#) constructed the Itô integral with respect to Brownian motion, and the stochastic calculus with respect to Brownian motion, which laid the

foundation for the development of calculus for random processes, see [Itô \(1951\)](#) “On stochastic differential equations”, in *Memoirs of the American Mathematical Society*.

“*Renowned math wiz Itô, 93, dies.*” (The Japan Times, Saturday, Nov. 15, 2008)

Kiyoshi Itô, an internationally renowned mathematician and professor emeritus at Kyoto University died Monday of respiratory failure at a Kyoto hospital, the university said Friday. He was 93. Itô was once dubbed “the most famous Japanese in Wall Street” thanks to his contribution to the founding of financial derivatives theory. He is known for his work on stochastic differential equations and the “Itô Formula”, which laid the foundation for the [Black and Scholes \(1973\)](#) model, a key tool for financial engineering. His theory is also widely used in fields like physics and biology.

Paul Samuelson, economist, Nobel Prize 1970

[Samuelson \(1965\)](#) rediscovered Bachelier’s ideas and proposed geometric Brownian motion as a model for stock prices. In an interview he stated “In the early 1950s I was able to locate by chance this unknown [Bachelier \(1900\)](#) book, rotting in the library of the University of Paris, and when I opened it up it was as if a whole new world was laid out before me.” We refer to “Rational theory of warrant pricing” by Paul Samuelson, *Industrial Management Review*, p. 13-32, 1965.

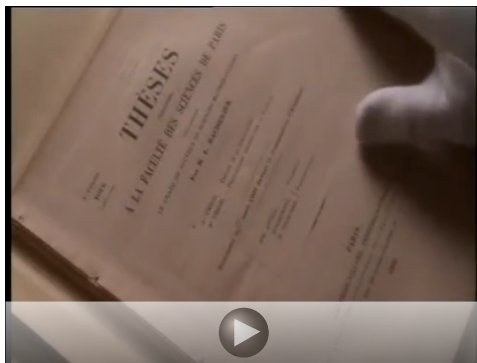


Fig. 2: [Clark \(2000\)](#) “As if a [whole new world](#) was laid out before me.”*

* Click on the figure to play the video (works in Acrobat Reader on the entire pdf file).

In recognition of Bachelier's contribution, the Bachelier Finance Society was started in 1996 and now holds the World Bachelier Finance Congress every two years.

Robert Merton, Myron Scholes, economists

Robert Merton and Myron Scholes shared the 1997 Nobel Prize in economics: "In collaboration with Fisher Black, developed a pioneering formula for the valuation of stock options ... paved the way for economic valuations in many areas ... generated new types of financial instruments and facilitated more efficient risk management in society."*

[Black and Scholes \(1973\)](#) "The Pricing of Options and Corporate Liabilities". *Journal of Political Economy* 81 (3): 637-654.

The development of options pricing tools contributed greatly to the expansion of option markets and led to development several ventures such as the "Long Term Capital Management" (LTCM), founded in 1994. The fund yielded annualized returns of over 40% in its first years, but registered a loss of US\$4.6 billion in less than four months in 1998, which resulted into its closure in early 2000.

Oldřich Vašíček, economist, 1977

Interest rates behave differently from stock prices, notably due to the phenomenon of mean reversion, and for this reason they are difficult to model using geometric Brownian motion. [Vašíček \(1977\)](#) was the first to suggest a mean-reverting model for stochastic interest rates, based on the Ornstein–Uhlenbeck process, in "An equilibrium characterization of the term structure", *Journal of Financial Economics* 5: 177-188.

David Heath, Robert Jarrow, Andrew Morton

These authors proposed in 1987 a general framework to model the evolution of (forward) interest rates, known as the Heath–Jarrow–Morton (HJM) model, see [Heath et al. \(1992\)](#) "Bond pricing and the term structure of interest rates: a new methodology for contingent claims valuation", *Econometrica*, (January 1992), Vol. 60, No. 1, pp 77-105.

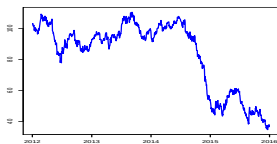
Alan Brace, Dariusz Gatarek, Marek Musiela (BGM)

The [Brace et al. \(1997\)](#) model is actually based on geometric Brownian motion, and it is especially useful for the pricing of interest rate derivatives such as interest rate caps and swaptions on the LIBOR market, see "The Market Model of Interest Rate Dynamics". *Mathematical Finance* Vol. 7, page 127. Blackwell 1997, by Alan Brace, Dariusz Gatarek, Marek Musiela. Although LIBOR rates are being phased out, we will still use this terminology when referring to simple or linear compounded forward rates.

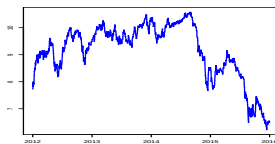
* This has to be put in relation with the modern development of [risk societies](#); "societies increasingly preoccupied with the future (and also with safety), which generates the notion of risk" (Wikipedia).

Financial derivatives

The following graphs exhibit a correlation between commodity (oil) prices and an oil-related asset price.



(a) WTI price graph.



(b) Graph of Keppel Corp. stock price

Fig. 3: Comparison of WTI *vs.* Keppel price graphs.

The study of financial derivatives aims at finding functional relationships between the price of an underlying asset (a company stock price, a commodity price, etc.) and the price of a related financial contract (an option, a financial derivative, etc.).

Option contracts

Early accounts of option contracts can also be found in *The Politics* Aristotle. Referring to the philosopher Thales of Miletus (c. 624 - c. 546 BCE), Aristotle writes:

“He (Thales) knew by his skill in the stars while it was yet winter that there would be a great harvest of olives in the coming year; so, having a little money, he gave *deposits* for the use of all the olive-presses in Chios and Miletus, which he hired at a low price because no one bid against him. When the harvest-time came, and many were wanted all at once and of a sudden, he let them out at any rate which he pleased, and made a quantity of money”.

In the above example, olive oil can be regarded as the underlying asset, while the oil press stands for the financial derivative. Option credit contracts appear to have been used as early as the 10th century by traders in the Mediterranean.

Next, we move to a description of (European) call and put options, which are at the basis of risk management.

European put option contracts

As previously mentioned, an important concern for the buyer of a stock at time t is whether its price S_T can decline at some future date T . The buyer of

the stock may seek protection from a market crash by purchasing a contract that allows him to sell his asset at time T at a guaranteed price K fixed at time t . This contract is called a put option with strike price K and exercise date T .

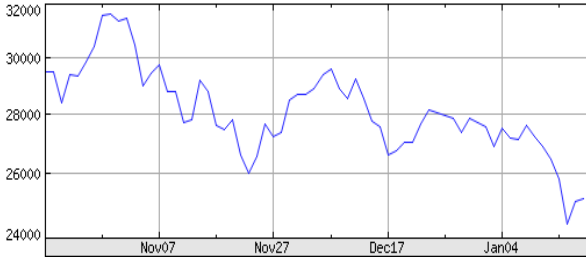


Fig. 4: Graph of the Hang Seng index - holding a put option might be useful here.

Definition 1. A (European) put option is a contract that gives its holder the right (but not the obligation) to sell a quantity of assets at a predefined price K called the strike price (or exercise price) and at a predefined date T called the maturity.

In case the price S_T falls down below the level K , exercising the contract will give the holder of the option a gain equal to $K - S_T$ in comparison to those who did not subscribe the option contract and have to sell the asset at the market price S_T . In turn, the issuer of the option contract will register a loss also equal to $K - S_T$ (in the absence of transaction costs and other fees).

If S_T is above K , then the holder of the option contract will not exercise the option as he may choose to sell at the price S_T . In this case the profit derived from the option contract is 0. Two possible scenarios (S_T finishing above K or below K) are illustrated in Figure 5.



Fig. 5: Two put option scenarios.

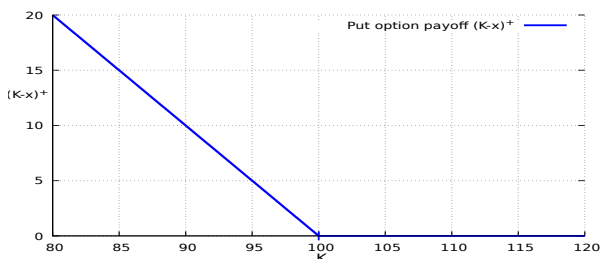
Cash settlement *vs.* physical delivery

Physical delivery. In the case of physical delivery, the put option contract issuer will pay the strike price $\$K$ to the option contract holder in exchange for one unit of the risky asset priced S_T .

Cash settlement. In the case of a cash settlement, the put option issuer will satisfy the contract by transferring the amount $C = (K - S_T)^+$ to the option contract holder.

In general, the payoff of a (so-called *European*) put option contract can be written as

$$\phi(S_T) = (K - S_T)^+ := \begin{cases} K - S_T & \text{if } S_T \leq K, \\ 0, & \text{if } S_T \geq K. \end{cases}$$

Fig. 6: Payoff function of a put option with strike price $K = 100$.

See e.g. <https://optioncreator.com/stwwxvz>.

Put option examples

- a) The **buy back guarantee*** in currency exchange;
 - b) the **price drop protection** in online ticket booking
- are common examples of European put options.

The derivatives market

As of year 2015, the size of the financial derivatives market is estimated at over \$1.2 quadrillion[†] USD, which is more than 10 times the Gross World Product (GWP). See [here](#) for up-to-date data on outstanding notional amounts and gross market value from the Bank for International Settlements (BIS).

European call option contracts

On the other hand, if the trader aims at buying some stock or commodity, his interest will be in prices not going up and he might want to purchase a call option, which is a contract allowing him to buy the considered asset at time T at a price not higher than a level K fixed at time t .

Definition 2. A (European) call option is a contract that gives its holder the right (but not the obligation) to purchase a quantity of assets at a predefined price K called the strike price, and at a predefined date T called the maturity.

Here, in the event that S_T goes above K , the buyer of the option contract will register a potential gain equal to $S_T - K$ in comparison to an agent who did not subscribe to the call option.

Two possible scenarios (S_T finishing above K or below K) are illustrated in Figure 7.

* Right-click to open or save the attachment.

[†] One thousand trillion, or one million billion, or 10^{15} .



Fig. 7: Two call option scenarios.

Cash settlement *vs.* physical delivery

Physical delivery. In the case of physical delivery, the call option contract issuer will transfer one unit of the risky asset priced S_T to the option contract holder in exchange for the strike price $\$K$. Physical delivery may include physical goods, commodities or assets such as coffee, airline fuel or live cattle, see [Schroeder and Coffey \(2018\)](#).

Cash settlement. In the case of a cash settlement, the call option issuer will fulfill the contract by transferring the amount $C = (S_T - K)^+$ to the option contract holder.

In general, the payoff of a (so-called European) call option contract can be written as

$$\phi(S_T) = (S_T - K)^+ := \begin{cases} S_T - K & \text{if } S_T \geq K, \\ 0, & \text{if } S_T \leq K. \end{cases}$$

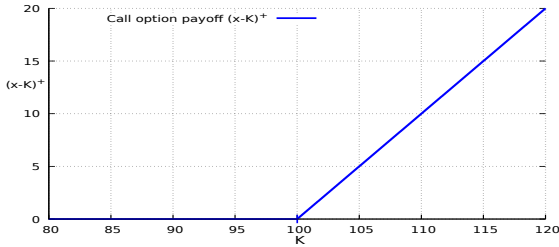


Fig. 8: Payoff function of a call option with strike price $K = 100$.

See e.g. <https://optioncreator.com/stqhbgn>.

Call option example: The **price lock guarantee*** in online ticket booking is a common example of a European *call* option, see also [here](#).

According to market practice, options are often divided into a certain number n of *warrants*, the (possibly fractional) quantity n being called the *entitlement ratio*.

Option pricing

In order for an option contract to be fair, the buyer of the option contract should pay a fee (similar to an insurance fee) at the signature of the contract. The computation of this fee is an important issue, and is known as *option pricing*.

Option hedging

The second important issue is that of *hedging*, i.e. how to manage a given portfolio in such a way that it contains the required random payoff $(K - S_T)^+$ (for a put option) or $(S_T - K)^+$ (for a call option) at the maturity date T .

Figure 9 illustrates a sharp increase and sharp drop in asset price, making it valuable to hold a call option contract during the first half of the graph, whereas holding a put option contract would be recommended during the second half.

* Right-click to open or save the attachment.



Fig. 9: “Infogrames” stock price curve.

Example: Fuel hedging and the four-way zero-collar option

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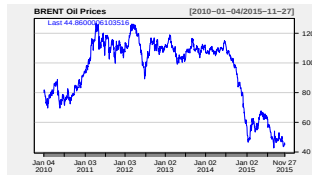
1 install.packages("Quandl")
2 library(Quandl);library(quantmod)
3 getSymbols("DCOILBRENT", src="FRED")
4 chartSeries(DCOILBRENT, up.col="blue", theme="white", name = "BRENT Oil
   Prices", lwd=5)
5 BRENT = Quandl("FRED/DCOILBRENT", start_date="2010-01-01",
6   end_date="2015-11-30", type="xts")
7 chartSeries(BRENT, up.col="blue", theme="white", name = "BRENT Oil Prices", lwd=5)
8 WTI <- Ad(`WTI`)
9 chartSeries(WTI, up.col="blue", theme="white", name = "WTI Oil Prices", lwd=5)

```

Listing 1: R code - Fetching oil price data.



(a) WTI price graph.



(b) Brent price graph

Fig. 10: Brent and WTI price graphs.

(April 2011)

Fuel hedge promises Kenya Airways smooth ride in volatile oil market.*

(November 2015)

A close look at the role of fuel hedging in Kenya Airways \$259 million loss.*

* Right-click to open or save the attachment.

The four-way call collar option requires its holder to purchase the underlying asset (here, airline fuel) at a price specified by the blue curve in Figure 11, when the underlying asset price is represented by the red line.

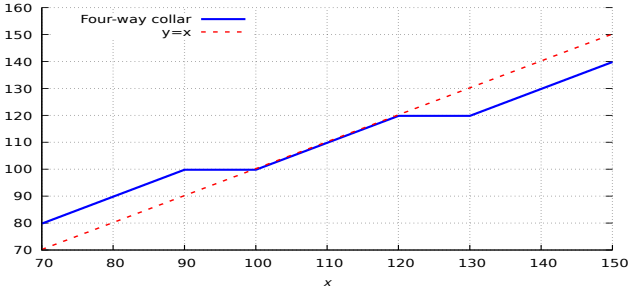


Fig. 11: Price map of a four-way call collar option.

The four-way call collar option contract will result into a positive or negative payoff depending on current fuel prices, as illustrated in Figure 12.

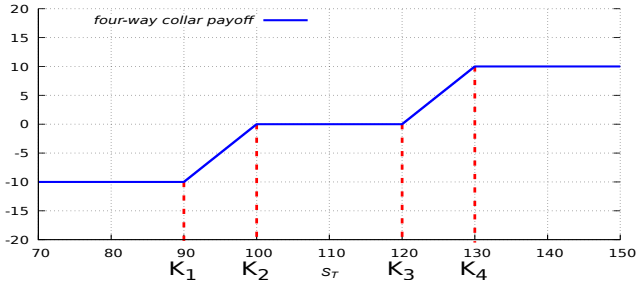


Fig. 12: Payoff function of a four-way call collar option.

The four-way call collar payoff can be written as a linear combination

$$\phi(S_T) = (K_1 - S_T)^+ - (K_2 - S_T)^+ + (S_T - K_3)^+ - (S_T - K_4)^+$$

of call and put option payoffs with respective strike prices

$$K_1 = 90, \quad K_2 = 100, \quad K_3 = 120, \quad K_4 = 130,$$

see e.g. <https://optioncreator.com/st5rf51>. Figure 13 shows the graphs of the partial summation

$$(K_1 - S_T)^+ - (K_2 - S_T)^+ + (S_T - K_3)^+$$

and the last term $-(S_T - K_4)^+$.

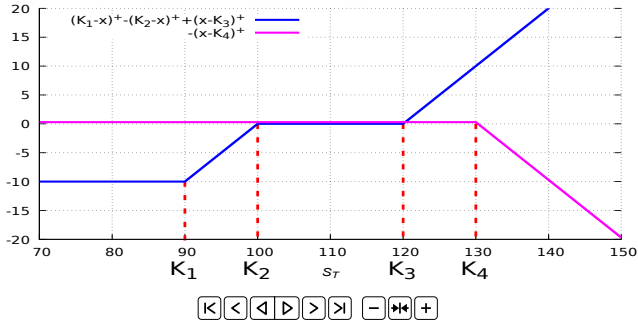


Fig. 13: Four-way call collar payoff as a combination of call and put options.*

Therefore, the four-way call collar option contract can be *synthesized* by:

1. purchasing a *put option* with strike price $K_1 = \$90$, and
2. selling (or issuing) a *put option* with strike price $K_2 = \$100$, and
3. purchasing a *call option* with strike price $K_3 = \$120$, and
4. selling (or issuing) a *call option* with strike price $K_4 = \$130$.

Moreover, the call collar option contract can be made *costless* by adjusting the boundaries K_1, K_2, K_3, K_4 , in which case it becomes a *zero-collar* option.

Example - The one-step 4-5-2 model

We close this introduction with a simplified example of the pricing and hedging technique in a binary model. Consider:

- i) A risky underlying stock valued $S_0 = \$4$ at time $t = 0$, and taking only two possible values

$$S_1 = \begin{cases} \$5 \\ \$2 \end{cases}$$

at time $t = 1$.

* The animation works in Acrobat Reader on the entire pdf file.

- ii) An option contract that promises a claim payoff C whose values are defined contingent to the market data of S_1 as:

$$C := \begin{cases} \$3 & \text{if } S_1 = \$5 \\ \$0 & \text{if } S_1 = \$2. \end{cases}$$

Exercise: Does C represent the payoff of a put option contract? Of a call option contract? If yes, with which strike price K ?

Quiz: Using this [form](#), submit your own intuitive estimate for the price of the claim C .

At time $t = 0$ the option contract issuer (or writer) chooses to invest ξ units in the risky asset S , while keeping $\$ \eta$ on our bank account, meaning that we invest a total amount

$$\xi S_0 + \$ \eta \quad \text{at time } t = 0.$$

Here, the amount $\$ \eta$ may be positive or negative, depending on whether it corresponds to savings or to debt, and is interpreted as a *liability*.

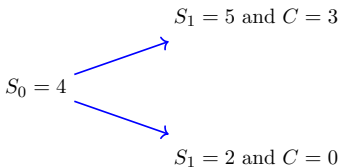
The following issues can be addressed:

- a) *Hedging:* How to choose the portfolio allocation $(\xi, \$ \eta)$ so that the *value*

$$\xi S_1 + \$ \eta$$

of the portfolio matches the future payoff C at time $t = 1$?

- b) *Pricing:* How to determine the initial *cost* $\xi S_0 + \$ \eta$ of the portfolio built by the option contract issuer at time $t = 0$?



$S_0 = 4$	$S_1 = 5 \text{ and } C = 3$
	$S_1 = 2 \text{ and } C = 0$

Hedging or *replicating* the contract means that at time $t = 1$ the portfolio *value* matches the future payoff C , *i.e.*

$$\xi S_1 + \$ \eta = C.$$

Hedge, then price. This condition can be rewritten as

$$C = \begin{cases} \$3 = \xi \times \$5 + \$ \eta & \text{if } S_1 = \$5, \\ \$0 = \xi \times \$2 + \$ \eta & \text{if } S_1 = \$2, \end{cases}$$

i.e.

$$\begin{cases} 5\xi + \eta = 3, \\ 2\xi + \eta = 0, \end{cases} \quad \text{which yields} \quad \begin{cases} \xi = 1 \text{ stock}, \\ \$\eta = -\$2. \end{cases}$$

In other words, the option contract issuer purchases 1 (one) unit of the stock S at the price $S_0 = \$4$, and borrows $\$2$ from the bank. The price of the option contract is then given by the portfolio value

$$\xi S_0 + \$\eta = 1 \times \$4 - \$2 = \$2.$$

at time $t = 0$.

The above computation is implemented in the attached [IPython notebook*](#) that can be run [here](#) or [here](#). This algorithm is scalable and can be extended to recombining binary trees over multiple time steps.

Definition 3. *The arbitrage-free price of the option contract is defined as the initial cost $\xi S_0 + \$\eta$ of the portfolio hedging the claim payoff C .*

Conclusion: in order to deliver the random payoff $C = \begin{cases} \$3 & \text{if } S_1 = \$5 \\ \$0 & \text{if } S_1 = \$2 \end{cases}$ to the option contract holder at time $t = 1$, the option contract issuer (or writer) will:

1. charge $\xi S_0 + \$\eta = \2 (the option contract price) at time $t = 0$,
2. borrow $-\$ \eta = \2 from the bank,
3. invest those $\$2 + \$2 = \$4$ into the purchase of $\xi = 1$ unit of stock valued at $S_0 = \$4$ at time $t = 0$,
4. wait until time $t = 1$ to find that the portfolio value has evolved into

$$C = \begin{cases} \xi \times \$5 + \$\eta = 1 \times \$5 - \$2 = \$3 & \text{if } S_1 = \$5, \\ \xi \times \$2 + \$\eta = 1 \times \$2 - \$2 = 0 & \text{if } S_1 = \$2, \end{cases}$$

so that the option contract and the equality $C = \xi S_1 + \$\eta$ can be fulfilled, allowing the option issuer to break even whatever the evolution of the risky asset price S .

In a *cash settlement*, the stock is sold at the price $S_1 = \$5$ or $S_1 = \$2$, the payoff $C = (S_1 - K)^+ = \$3$ or $\$0$ is delivered to the option contract holder, and the loan is refunded with the remaining $\$2$.

In the case of *physical delivery*, $\xi = 1$ share of stock is handed in to the option holder in exchange for the strike price $K = \$2$ which is used to refund the initial $\$2$ loan subscribed by the issuer.

* Right-click to save as attachment (may not work on .

Here, the option contract price $\xi S_0 + \$\eta = \2 is interpreted as the cost of hedging the option. In Chapters 2 and 3 we will see that this model is scalable and extends to discrete time.

We note that the initial option contract price of \$2 can be turned to $C = \$3$ (%50 profit) ... or into $C = \$0$ (total ruin).

Thinking further

1) The expected claim payoff at time $t = 1$ is

$$\begin{aligned}\mathbb{E}[C] &= \$3 \times \mathbb{P}(C = \$3) + \$0 \times \mathbb{P}(C = \$0) \\ &= \$3 \times \mathbb{P}(S_1 = \$5).\end{aligned}$$

In absence of arbitrage opportunities (“fair market”), this expected payoff $\mathbb{E}[C]$ should equal the initial amount \$2 invested in the option. In that case we should have

$$\begin{cases} \mathbb{E}[C] = \$3 \times \mathbb{P}(S_1 = \$5) = \$2 \\ \mathbb{P}(S_1 = \$5) + \mathbb{P}(S_1 = \$2) = 1. \end{cases}$$

from which we can *infer* the probabilities

$$\begin{cases} \mathbb{P}(S_1 = \$5) = \frac{2}{3} \\ \mathbb{P}(S_1 = \$2) = \frac{1}{3}, \end{cases} \quad (1)$$

which are called *risk-neutral* probabilities. We see that under the risk-neutral probabilities, the stock S has twice more chances to go up than to go down in a “fair” market.

2) Based on the probabilities (1) we can also compute the expected value $\mathbb{E}[S_1]$ of the stock at time $t = 1$. We find

$$\begin{aligned}\mathbb{E}[S_1] &= \$5 \times \mathbb{P}(S_1 = \$5) + \$2 \times \mathbb{P}(S_1 = \$2) \\ &= \$5 \times \frac{2}{3} + \$2 \times \frac{1}{3} \\ &= \$4 \\ &= S_0.\end{aligned}$$

Here, this means that, on average, no extra profit or loss can be made from an investment on the risky stock, and the probabilities $(2/3, 1/3)$ are termed *risk-neutral* probabilities. In a more realistic model we can assume that the riskless bank account yields an interest rate equal to r , in which case the above analysis is modified by letting $\$\eta$ become $\$ (1+r)\eta$ at time $t = 1$, nevertheless the main conclusions remain unchanged.

Market-implied probabilities

By matching the theoretical price $\mathbb{E}[C]$ to an actual market price data $\$M$ as

$$\$M = \mathbb{E}[C] = \$3 \times \mathbb{P}(C = \$3) + \$0 \times \mathbb{P}(C = \$0) = \$3 \times \mathbb{P}(S_1 = \$5),$$

we can infer the probabilities

$$\begin{cases} \mathbb{P}(S_1 = \$5) = \frac{\$M}{3} \\ \mathbb{P}(S_1 = \$2) = \frac{3 - \$M}{3}, \end{cases} \quad (2)$$

which are *implied probabilities* estimated from market data, as illustrated in Figure 14. We note that the conditions

$$0 < \mathbb{P}(S_1 = \$5) < 1, \quad 0 < \mathbb{P}(S_1 = \$2) < 1$$

are equivalent to $0 < \$M < 3$, which is consistent with financial intuition in a non-deterministic market. Figure 14 shows the time evolution of probabilities $p(t)$, $q(t)$ of two opposite outcomes.

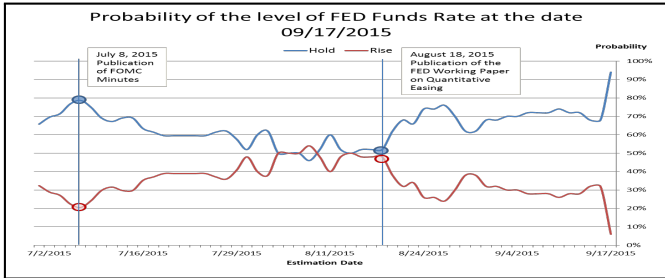


Fig. 14: Implied probabilities.

Note that implied probabilities should also be used with caution, as shown in Figures 15-16.

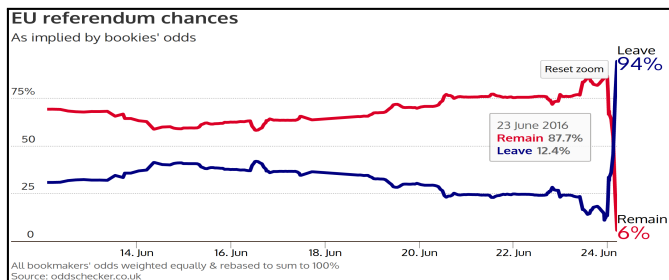


Fig. 15: Implied probabilities according to bookmakers.

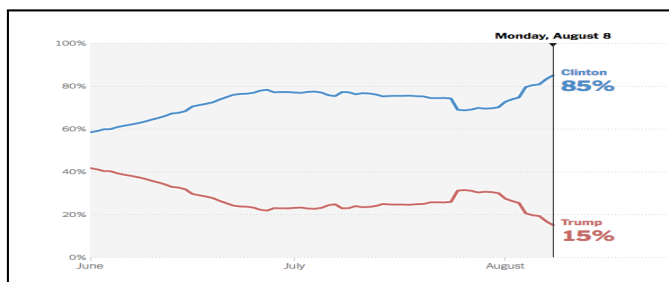


Fig. 16: Implied probabilities according to polling.

Implied probabilities can be estimated using *e.g.* binary options, see for example Exercise 3.11.

The *Practitioner* expects a good model to be:

- *Robust* with respect to missing, spurious or noisy data,
- *Fast* - prices have to be delivered daily in the morning,
- *Easy* to calibrate - parameter estimation,
- *Stable* with respect to re-calibration and the use of new data sets.

Typically, a medium size bank manages 5,000 options and 10,000 deals daily over 1,000 possible scenarios and dozens of time steps. This can mean a hundred million computations of $\mathbb{E}[C]$ daily, or close to a billion such computations for a large bank.

The *mathematician* tends to focus on more theoretical features, such as:

- *Elegance*,

- *Sophistication*,
- *Existence* of analytical (closed-form) solutions / error bounds,
- *Significance* to mathematical finance.

This includes:

- *Creating* new payoff functions and structured products,
- *Defining* new models for underlying asset prices,
- *Finding* new ways to compute expectations $\mathbb{E}[C]$ and hedging strategies.

The methods involved include:

- Monte Carlo methods (60%),

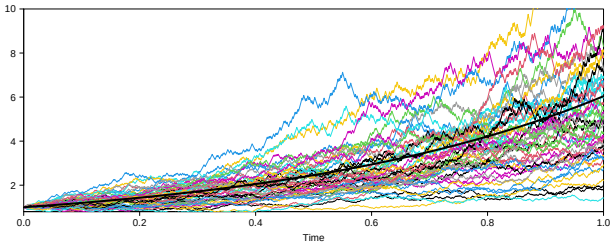


Fig. 17: Fifty sample price paths used for the Monte Carlo method.

- PDEs and finite differences methods (30%),
- Other analytic methods and approximation methods (10%),

+ AI and Machine Learning techniques.

Course plan

The course plan from Chapter 1 to Chapter 7 is structured in layers that repeat the main concepts (arbitrage, pricing, hedging, risk-neutral measures) in different time scale settings (one-step, discrete-time, continuous-time).

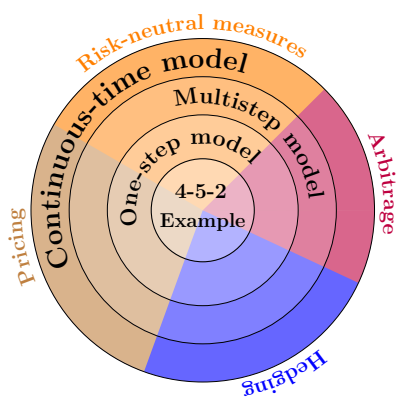


Fig. 18: Course plan.